*UMKC Impact & Translation Series*

# Startup or License? Finding the Right Path for Your Innovation

A Whitepaper for UMKC Faculty Researchers and Graduate Students

Research at UMKC often begins with discovery, but for many faculty and graduate researchers, the deeper goal is impact. Some innovations reach that impact through adoption in practice, partnerships with existing organizations, licensing, or the creation of a startup.

In the U.S., frameworks like the Bayh-Dole Act enable universities to retain ownership of inventions and support pathways that move research into use. At UMKC, this framework supports the university's strategic goals of increasing research impact, fostering entrepreneurship, and building strong industry partnerships.

When a new invention is disclosed, one of the first decisions the researcher, the Office of Commercialization, and the Office of Technology Transfer must make is whether to pursue a startup venture or license the technology to an existing company.

**UITS Whitepaper**

This whitepaper is part of the **UMKC Impact & Translation Series (UITS)** - a set of short videos and supporting materials designed to help faculty think more clearly about how their work can move beyond the university and into real-world use.

The videos introduce core ideas. This document goes deeper on one of those ideas: how to choose between licensing your innovation to an existing company or developing it through a startup.

This whitepaper focuses on one important decision point within that broader translation process: whether your innovation is better suited for licensing to an existing company or for development through a new venture.

## Two Pathways to Impact

Once your innovation is disclosed, one of the most important strategic decisions is choosing the best path to bring it to market: licensing the technology to an existing company or launching a new startup. Both routes can lead to successful commercialization and public impact, but they require different levels of involvement, risk, and support.

Not every innovation needs to become a startup, and not every project is best advanced through a license. These are two important pathways, but the right choice depends on the readiness of the work, the market context, and the role you want to play.

This section outlines each path in detail - highlighting when it works best, what benefits it brings, and how UMKC supports your journey - so you can confidently determine the right fit for your innovation and goals.

## Licensing to an Existing Company

Licensing is often the best fit when there is a clear market need, a company already has the capability to deploy the innovation, and the researcher prefers a more limited ongoing role in commercialization activity. Licensing involves granting an established company the rights to use, develop, and commercialize a university-owned technology under defined terms.

**Best For:**

- Technologies that are close to market-ready
- Established markets with well-defined customer needs
- Inventors who prefer to focus on research

**Benefits:**

- Less risk for the inventor and university
- Company takes on product development and market entry
- Potential for revenue through royalties or milestone payments

**UMKC Example:** *Evolution Pervious* licensed technology from UMKC to commercialize a novel material that improves wastewater collection and helps reduce PFAS contamination. The license allowed the company to further develop and deploy the technology while UMKC retained rights and potential financial return.

## Launching a Startup

Startups are often most appropriate when the innovation is still early, the path to adoption needs to be built, and the work requires sustained development that an existing company is unlikely to take on immediately. Forming a startup involves licensing the innovation to a newly created company, often led or supported by the inventors themselves.

**Best For:**

- Disruptive or early-stage technologies
- Innovations requiring further technical and market development
- Inventors interested in entrepreneurship and long-term involvement

**Benefits:**

- Greater long-term upside, with higher uncertainty and responsibility
- More control over product development and direction
- Potential to build new capabilities, teams, or markets around the innovation

**UMKC Example:** *EyeVerify* (later Zoloz) was born from biometric research at UMKC. The company developed eye-based authentication for mobile devices and grew rapidly with support from grants

and private investment. It was ultimately acquired by Ant Financial, a subsidiary of Alibaba, demonstrating the potential of startup-led commercialization.

## Key Questions to Guide Your Decision

Deciding whether to license your innovation or build a startup isn't just about preference - it's about alignment. The right commercialization path depends on the readiness of your technology, the state of the market, and your personal and professional goals.

The goal is not to choose the more exciting option, but to identify which path best aligns with your work. Asking the right questions early can help clarify the best way forward and avoid costly detours.

The table below offers a practical comparison of key factors to consider, helping you match your innovation to the path most likely to lead to real-world impact.

| Factor | Favoring Licensing | Favoring a Startup |
|---|---|---|
| **Market Readiness** | Defined and established | Needs to be created or disrupted |
| **Technology Maturity** | TRL 6–9 | TRL 2–5 |
| **Development Needs** | Minor adjustments needed | Major technical or product development required |
| **Inventor Involvement** | Minimal involvement after licensing | Active role in company formation and growth |
| **Risk Tolerance** | Lower risk preferred | Comfortable with high risk and ambiguity |
| **Funding Pathways** | Industry or government funding via licensee | Startup grants, VC, or angel investment |

**What Role Do You Want to Play?**

- Do you want to lead a company or stay focused on research?
- Are you energized by the challenge of creating something new—or more interested in seeing it scaled by an existing firm?
- Are you comfortable with financial risk, team-building, and customer engagement?

Answering these questions honestly can help guide your next step.

## UMKC Support for Both Paths

The decision to launch a startup or pursue licensing should begin with a realistic assessment of your technology, your market, and your personal goals as a researcher. Ask yourself: Do I want to be actively involved in a company? Is my technology ready for market, or does it need years of development? Is there an existing company eager to take this on or do I need to create one?

UMKC supports this process through two complementary roles. The **Office of Technology Transfer** focuses on intellectual property, including protection, ownership, and licensing structures. The **Office of Commercialization** focuses on how innovations move into real-world use, including market direction, startup formation, and external engagement.

Together, these teams provide coordinated guidance to help you move from idea to impact with clarity and confidence.

**Office of Technology Transfer**

- **IP Strategy**: Works with inventors to assess patentability and develop protection plans
- **Patent Management**: Oversees filing, prosecution, and maintenance of university-owned IP
- **Compliance**: Ensures legal and institutional requirements are met

**Office of Commercialization**

- **Marketing Support**: Develops materials to promote innovations to licensees and partners
- **Startup Support**: Assists with business formation, referrals to programs like dSAIC and Digital Sandbox
- **Corporate Engagement**: Builds connections with potential industry partners and investors
- **Deal Development**: Works collaboratively with TTO to frame licensing or startup paths based on market needs

## Decision Framework: A Simple Flow

With so many variables to consider, deciding between a startup and licensing can feel overwhelming. But the right path often becomes clear when you focus on a few core questions about your technology, your market, and your goals.

This simple decision framework is designed to help you quickly assess which option aligns best with your situation. While not a substitute for expert guidance, it's a helpful starting point for productive conversations with UMKC's Office of Commercialization and Office of Technology Transfer.

**Guiding Question:**

Which pathway gives your work the strongest chance of reaching real-world use given its current stage, market context, and the role you wish to play?

Ask yourself:

- Do I want to actively lead or support a business?
- Is the market for this innovation already clear?
- How much work remains before this technology is usable?

- Do I have (or want to build) a team with business expertise?

**General Rule of Thumb:**

- If you answer "Yes" to market clarity and "No" to entrepreneurial interest → **License**
- If you answer "Yes" to founding a company and "Yes" to ongoing development needs → **Startup**

Note: Some innovators may explore both options over time. For example, a technology might be licensed early for pilot deployment and later become the foundation for a startup. Your commercialization journey is not always linear.

Make this decision in consultation with the Office of Commercialization and the Office of Technology Transfer, who will work with you to assess readiness, risk, and resource needs.

## Suggested Steps for UMKC Innovators

Once you've identified the likely path for your innovation - licensing or startup - the next step is to take action. UMKC offers a clear and supportive process to help you move forward, from disclosing your invention to building a commercialization plan.

These recommended steps will connect you with the right people, tools, and resources to maximize your innovation's potential and turn your ideas into real-world solutions.

1. **Submit an Innovation Disclosure**: Early disclosure allows for better evaluation of market pathways.
2. **Schedule a Commercialization Meeting**: Align on goals, technology readiness, and inventor interest.
3. **Evaluate the Market**: Use internal and external tools to understand competition, customers, and barriers.
4. **Clarify Inventor Goals**: Decide how involved you want to be.
5. **Leverage UMKC Resources**: Use funding, mentorship, and market development tools to strengthen your approach.

## Conclusion

Licensing and startup formation are not competing goals. They are different pathways through which research can reach real-world use. The right choice depends on the stage of the work, the nature of the market, and the role you want to play. What matters most is not which path appears more exciting, but which path gives your work the best chance to create meaningful impact beyond the university.

At UMKC, the Office of Commercialization and the Office of Technology Transfer work in close collaboration with faculty and graduate researchers to explore both pathways and match the right resources to each project. Whether you aim to partner with industry or lead your own venture, UMKC is here to support you every step of the way.

# Resources & Contacts

**UMKC Office of Commercialization**

📍 Website: www.umkcinnovates.com/tech-commercialization

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📞 Phone: 816-235-6373

**UMKC Office of Technology Transfer**

📍 Website: https://ori.umkc.edu/facilities-compliance-and-commercialization/commercialization/process/submit-an-invention-disclosure.html

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